

LAKEFRONT BIOTHERAPEUTICS NV LKFT

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by

compounders

			2026	2027
Price:	26.90	EPS	N/A	N/A
Shares Out. (in M):	67	P/E	N/A	N/A
Market Cap (in \$M):	1,807	P/FCF	N/A	N/A
Net Debt (in \$M):	-2,300	EBIT	0	0
TEV (in \$M):	-493	TEV/EBIT	N/A	N/A

Description

Overview

Lakefront Biotherapeutics ("Lakefront"), formally Galapagos, can be purchased for less than the net cash remaining after completing the Phase 3 and FDA submission on a promising T-cell engager. Rather than treating Lakefront like a biotech net-net (and historically it was the white whale of net-nets), we expect investors to ascribe value to both the cash and the T-cell engager as the Phase 3 trial approaches. Management and the board are aligned with shareholders, the company is repurchasing stock, and there is optionality on future index inclusion. Moreover, the T-cell engager mechanism has been validated by UCB's \$2+ billion purchase of Candid. Marking the T-cell engager at invested capital yields upside of more than 80%, with downside fully protected from remaining net cash.

History of Lakefront / How We Got Here

In 2019, Lakefront entered into an Option, License, and Collaboration Agreement (OLCA) with Gilead Sciences ("Gilead") which brought in \$3.95 billion of upfront cash and a \$1.1 billion equity investment. Gilead also gained the right to appoint two directors. The idea was for Lakefront to use the capital to pursue drug development. Lakefront granted Gilead the ability to opt-in to any project at the end of Phase 2 for only \$150 million plus a royalty on future sales. The OLCA has a duration of ten years (ending in 2029, importantly), and Lakefront is entitled to any remaining cash.

The first six years of the OLCA were a total failure. The catalyst for change came in late 2024 when biotech specialist EcoR1 increased its stake in the company and successfully advocated for its founder, Oleg Nodelman, to join the board. EcoR1 now holds >13% of the company, making Lakefront one of its largest positions.

A few months after Nodelman joined the board, Lakefront announced the wind-down of legacy programs and hired Henry Gosebruch as CEO. Gosebruch was Co-Head of North America M&A at J.P. Morgan and then spent seven years leading business development at AbbVie. We believe that he is charged with reorienting the company around projects with positive expected value.

Gamgertamig Acquisition

Gosebruch immediately sought to rework the OLCA with Gilead, culminating in the March 2026 joint acquisition of Ouro Medicines, a €150 million share repurchase, and the unrestricting of an additional €350 million of cash.

Gilead and Lakefront paid \$1.675 billion for Ouro plus milestones payments up to \$500 million, divided evenly. The companies will also split pivotal development costs. Crucially, Gilead will bear the costs of commercialization, and Lakefront will receive a royalty of 20-23% on future sales. The companies plan to initiate Phase 3 trials in 2027 in multiple indications.

Ouro Medicines focuses on bispecific T-cell engagers, which are engineered antibodies that connect a patient's T cells directly to disease-causing plasma cells. Ouro licensed its key asset, gamgertamig, from China-based Keymed Biosciences in 2024. GSK was one of Ouro's original investors, and other big pharma companies have in-licensed molecules from Keymed, adding credibility to the original source of gamgertamig.

Gamgertamig targets BCMAxCD3, meaning that it bridges the gap between BCMA (a protein found on the surface of mature plasma cells) with CD3 (a multi-protein complex on the surface of T cells). The idea is to force the body's own immune system to clear out antibody-producing plasma cells, thus reducing the hyperactive immune response to disease. Whereas first generation of BCMAxCD3 T-cell engagers focused on oncology (multiple myeloma), Ouro is the most advanced player pursuing bispecific approaches for autoimmune diseases (including autoimmune hemolytic anemia and immune thrombocytopenia, among others).

An important valuation benchmark was set in June when UCB agreed to acquire Candid Therapeutics ("Candid") for \$2 billion upfront plus additional milestone payments. Candid is also developing a BCMAxCD3 T-cell engager for autoimmune diseases. We believe that Lakefront evaluated both Ouro and Candid but pursued Ouro because (1) it would be first to market and (2) its target indications likely offer a better risk-reward.

Valuation

We recommend investors conceive of Lakefront as the cash remaining after progressing gamgertamig to approval plus the potential value of the drug.

Lakefront has forecasted that it will have at least €1.6 billion (~\$1.9 billion) of cash remaining after funding gamgertamig to first approval. This amount exceeds Lakefront's market cap and should provide downside protection. Gosebruch has also signaled limited appetite for further M&A and a high bar for further capital deployment. We believe that the current plan is to continue to derisk gamgertamig and then seek to address the remaining cash balance with Gilead after the OLCA demonstrates tangible progress. While we cannot be certain Gilead will ever permit a major capital return, we can be reasonably certain that the remaining ~\$1.9 billion of cash will not be squandered on non-economic projects.

A simple valuation where gamgertamig is marked at cost and added to the company's cash balance suggests a fair value of ~\$50 per share, nearly double the current share price. If gamgertamig succeeds commercially, then investors could stand to receive further upside. If gamgertamig fails, then investors should have limited downside given ~\$30+ of cash per share that will be left after the first round of Phase 3 trials.

While it is probably too early to value gamgertamig using traditional valuation methods given nascent clinical data, multiple analysts have called the drug a potential blockbuster, which would theoretically suggest a minimum of \$200 million of annual royalty payments due to Lakefront in the event of a successful launch. Given the involvement of Gosebruch and EcoR1 in the investment selection for gamgertamig, and the subsequent marker from the acquisition of Candid, we see an attractive risk-adjusted IRR on gamgertamig investment as likely.

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Catalyst

Publication of incremental clinical data

Continued share repurchases

Shareholder base evolution from deep value investors to biotech specialists

Potential US ordinary share listing

Messages

Subject	view on NT?
Entry	09/14/2026 02:40 PM
Member	dannny

Thanks for the pitch - agree. Curious how u valued the cash given the OLCA's opt-in rights and such.

Any view on the NT gamgertamig data expected later this yr?